

FEDERAL MARITIME COMMISSION

DOCKET NO. 17-09

FIAT CHRYSLER AUTOMOBILES NV, FCA US LLC and FCA Italy S.p.A.,

v.

WALLENIOUS WILHELMSSEN LOGISTICS AS, WALLENIOUS WILHELMSSEN LOGISTICS AMERICAS LLC, EUKOR CAR CARRIERS INC., NIPPON YUSEN KABUSHIKI KAISHA, NYK LINE (NORTH AMERICA) INC., MITSUI O.S.K. LINES, LTD., MOL (AMERICA) INC., KAWASAKI KISEN KAISHA, LTD., “K” LINE AMERICA, INC., COMPAÑÍA SUD AMERICANA DE VAPORES, AND HOËGH AUTOLINERS AS,

COMPLAINANTS’ BRIEF IN OPPOSITION TO RESPONDENTS WALLENIOUS WILHELMSSEN LOGISTICS AS, WALLENIOUS WILHELMSSEN LOGISTICS AMERICAS LLC AND EUKOR CAR CARRIERS INC.’S MOTION FOR CLARIFICATION OF THE CONFIDENTIALITY PROVISIONS OF THE APRIL 2, 2019 ORDER AND INITIAL DECISION APPROVING A CONFIDENTIAL SETTLEMENT

Respondents Wallenius Wilhelmsen Logistics AS, Wallenius Wilhelmsen Logistics Americas LLC, and Eukor Car Carriers Inc.'s (together, "Respondents") motion challenges the Presiding Judge’s substantive review and approval of the confidential settlement agreement between Complainants and Mitsui O.S.K. Lines, Ltd. and MOL (America) Inc. (together, “FCA/MOL”), but Respondents provide no basis for the relief that they seek. Respondents’ motion is meritless and should be denied.

I. The Presiding Judge’s decision to approve the FCA/MOL settlement and designate it confidential was proper

The Commission “does not merely rubber stamp any proffered settlement.” April 2, 2019 order, p. 3 citing *Old Ben Coal*, 18 S.R.R. at 1092. The Presiding Judge

reviewed the full text of the settlement agreement and approved it, finding that the agreement “does not appear to violate any law or policy and is free of fraud, duress, undue influence, mistake, or other defects which might make it unapprovable.” April 2, 2019 order, p. 3, citing *Old Ben Coal*, 18 S.R.R. at 1092. The Presiding Judge’s decision to grant the parties’ request for confidential treatment of the settlement agreement was also based on the Presiding Judge’s review of the agreement and consistent with Commission precedent. April 2, 2019 order, p. 4.

II. FCA/MOL complied with Commission rules and precedent in seeking confidentiality

Respondents’ complaints regarding the *Global Link* case are unavailing for two reasons. First, FCA/MOL identified *Global Link* as Commission precedent for the narrow proposition that settling parties who are seeking a confidential designation over an entire agreement need not also file a public version of the agreement as required by §502.5(a)(2)(ii). *Global Link Logistics, Inc. v. Hapag-Lloyd AG*, No. 13-07, 2015 WL 1928868, at *6 (FMC Apr. 14, 2015). Relying on *Global Link*, FCA/MOL submitted a confidential version of the agreement per §502.5(a)(2)(i) and filed the joint motion in compliance with §502.5(b), but did not also file a public version of the agreement. Second, Respondents do not specify any change in material fact or applicable law, identify a substantive error in material fact, or address a finding, conclusion, or other matter that was not already addressed by a party. §502.261(a)(1)-(3)¹. FCA/MOL’s motion addressed the confidential nature of the settlement agreement and its terms, and the Presiding Judge found that the settlement agreement contained confidential

¹ There is no Commission rule governing motions for clarification, the Commission rule governing Petitions for Reconsideration and Stay should be instructive considering the nature of the relief Respondents seek in their motion.

information and granted the motion. Order p. 4. Respondents assert but provide no authority that FCA/MOL's motion seeking confidentiality was in any way deficient. Motion ¶ 16-17.

III. Federal court authority does not support Respondents' claim

Respondents cite a litany of federal court cases in support of their over-generalized contention that federal courts "consistently order the production" to non-settling defendants of confidential settlement agreements between plaintiffs and settling defendants when the plaintiff has alleged joint and several liability. Motion ¶ 18.

All of Respondents' cited cases, however, involve motions to compel production of confidential settlement agreements where the non-settling defendants articulate multiple reasons, not just to determine potential set-off credit, in support of disclosure. *See Barclay v. Gressit*, No. 2:12-CV-156-JHR, 2013 WL 3819937, at *3 (D. Me. July 24, 2013) (production of settlement agreement to non-settling defendant compelled where non-settling defendant asserted concerns of double recovery from more than one insurer and whether the release was a "Pierringer" release); *Gaedeke Holdings VII, Ltd v. Mills*, No. CIV-11-649-M, 2015 WL 3440222, at *2 (W.D. Okla. May 27, 2015) (settlement agreements relevant and discoverable "because they may establish the bias or prejudice of witnesses"); *Heartland Surgical Specialty Hosp, LLC v Midwest Div, Inc*, No. 05-2164-MLB-DWB, 2007 WL 1246216, at *4 (D. Kan., April 27, 2007) (same); *White v Kenneth Warren & Son, Ltd*, 203 FRD 364, 367-368 (N.D. Ill. 2001) (same); *Griffin v Mashariki*, No. 96 CIV. 6400 (DC), 1997 WL 756914, at *2 (S.D.N.Y. December 8, 1997) (production to non-settling co-defendants of substantive settlement statement by settling co-defendant about the subject matter of the litigation—allegedly defamatory

statements made by the defendants—was relevant and may be impeachment material); *Levick v Maimonides Med Ctr*, No. 08 CV 03814 NG, 2011 WL 1673782, at *4 (E.D.N.Y. May 3, 2011) (production of settlement agreement may be proper if agreement contains information tending to show that plaintiff's alleged injuries may be attributed to conduct of defendant in prior lawsuit).

Of the six cases cited by Respondents, only two of them involve the court's substantive review of the confidential settlement agreements at issue.² In *White*, the court had the benefit of an *in camera* review of the confidential settlement documents when making its determination that discovery of those documents would allow the non-settling defendant to evaluate potential bias, interest, and credibility of witnesses in addition to the settlement's impact on damages and liability. 203 FRD at 369. In *Levick*, the court ordered an *in camera* inspection of the confidential settlement agreement in order to ascertain whether or not it should be produced. 2011 WL 1673782 at *4. Like the *White* and *Levick* courts, the Presiding Judge conducted an *in camera* review and, by granting FCA/MOL's motion, determined that the FCA/MOL settlement agreement was not "relevant and therefore discoverable." *Id.*

Unlike the six cases Respondents cite, Respondents have not raised any additional reasons compelling disclosure beyond the potential set-off of damages. The right to discovery of a settlement agreement is not absolute and discovery is not appropriate where the minimal showing of relevance is not made. *See Levick v. Maimonides Med Ctr*, No. 08 CV 03814 NG, 2011 WL 1673782, at *3 (E.D.N.Y. May 3, 2011) (internal citations omitted). None of Respondents' cited cases involve the court compelling

² *Gaedek*, *Barclay*, *Griffin*, and *Heartland* did not involve any sort of *in camera* review of the confidential settlement agreements so have even less application to this case.

production of a confidential settlement agreement in response to a non-settling defendant's singular assertion that it is "entitled to know the amount of any set-off to which they may be entitled in the event of an adverse judgment, and are entitled to confirm that the FCA/MOL settlement agreement provides for such set-off." Motion ¶ 13.

There is a strong public policy of favoring settlements and, by enacting Fed. R. Evid. 408, Congress furthered that policy "by insulating the bargaining table from unnecessary intrusions." *Bottaro v. Hatton Assoc.*, 96 FRD 158, 160 (E.D.N.Y. 1982). Federal courts have consistently denied production of confidential settlement agreements when the only argument in support of disclosure is the agreement's relevance to damages. *See, e.g., Bottaro*, 96 FRD 158 at 160³ (discovery into terms of confidential settlement agreement "based solely on the hope that it will somehow lead to admissible evidence on the question of damages" denied); *In re Flat Glass Antitrust Litig.*, No. 11-658, 2013 WL 1703864, at *1 (W.D. Pa. April 19, 2013) (same); *Doe v. Methacton Sch. Dist.*, 164 F.R.D. 175, 176–77 (E.D. Pa. 1995) (broad assertion that confidential settlement agreement relevant to issue of damages not sufficient to compel production).

If a party establishes that disclosure of requested information could "thwart desirable social policies," the requesting party "will be required to demonstrate that its need for the information, and the harm that it would suffer from the denial of such information, outweigh the injury that disclosure would cause either the other party or the

³ There is a split in published federal authority on requiring a heightened showing of relevance or need to justify disclosure of confidential settlement agreements, but cases rejecting the "heightened showing" standard still find that the requesting party made such a showing before ordering discovery. *Doe v. Methacton Sch. Dist.*, 164 FRD 175, 176 (E.D. Pa. 1995) citing *Bennett v. La Pere*, 112 F.R.D. 136 (DRI 986).

interests cited by it." *In re Automotive Parts Antitrust Litigation*, No. 12-MD-02311-MOB-MKM (E.D. Mich. June 19, 2017) quoting *Apex Oil Co. v. DiMauro*, 110 F.R.D. 490, 496 (S.D.N.Y. 1985) (declining to compel production of settlement agreements). Here, Respondents have failed to establish that their "need for disclosure" of the FCA/MOL confidential settlement agreement outweighs the "unnecessary intrusion" disclosure at this point in the case would cause.

IV. Commission precedent supports disclosure of confidential settlements to non-settling defendants after a finding of joint and several liability and reparations award

Respondents claim that clarification of the Presiding Judge's April 2, 2019 order is required because they are "entitled to know the amount of any set-off to which they may be entitled in the event of an adverse judgment, and are entitled to confirm that the FCA/MOL settlement agreement provides for such set-off." Motion ¶ 13. The only Commission case Respondents cite as support for their motion, *Kobel v. Hapag-Lloyd, A.G.*, Docket 10-06, supports FCA/MOL's position that Respondents' request is improper and/or premature.

In *Kobel*, the Presiding Judge found and the Commission affirmed that two co-defendants were jointly and severally liable for reparations in an amount certain. See *Kobel v. Hapag-Lloyd, A.G.*, August 31, 2017 Order attached here as **Exhibit A** at p. 2. Following entry of the reparations order, the complainant and one of the co-defendants jointly requested that the Commission approve a confidential settlement agreement. **Exhibit A** at p. 1. The *Kobel* settlement agreement, attached here as **Exhibit B**, expressly identifies the joint and several reparations award against the co-defendants, and, consistent with Commission precedent, provides for payments made by the settling

defendant to be a credit as to the joint and several reparations award against the co-defendants. **Exhibit B** p. 1, 3 ¶ 11.

If the Presiding Judge finds in this case that the respondents are jointly and severally liable for reparations, the non-settling respondents, including WWL Respondents, may be entitled to some credit for settlement amounts paid. *See McDermott, Inc. v. Amclyde*, 511 U.S. 202, 220-221 (1994) (“proportionate share approach” appropriate for calculating set-off credit for settlement agreement with one co-defendant following jury verdict for damages and proportionate allocation of responsibility by jury to all co-defendants). Even following an award, however, if the Presiding Judge decides to allocate responsibility among the respondents, the terms of the FCA/MOL settlement would still be irrelevant. *McDermott*, 511 U.S. at 220 (“a plaintiff’s good fortune in striking a favorable bargain with one defendant gives other defendants no claim to pay less than their proportionate share of the total loss.”). There is no “rigid rule” in the law against overcompensation. *Id.* at 219. In this case, there has been no finding by the Presiding Judge or Commission of joint and several liability for reparations in Complainants’ favor. The non-settling respondents continue to dispute their liability and that any such liability is joint and several. Motion p. 5 n.1.

The relief Respondents seek in their motion may be appropriate after the Commission's finding of joint and several liability and a reparations award in Complainants' favor. *See, e.g., Polston v. Eli Lilly and Co.*, No. 08–3639, 2010 WL 2926159, at *2 (D.S.C. July 23, 2010) (no reason to order disclosure of the amount of a settlement credit until a verdict finding liability); *Burlington v. News Corp*, No. CIV.A. 09-1908, 2015 WL 2070063, at *5 (E.D. Pa. May 4, 2015) (amount of confidential

settlement "is relevant only to the question of the offset of damages" and "is not presently an issue and will not be an issue prior to the jury rendering its verdict"); *Zlotogura v. Progressive Direct Ins. Co.*, No. 12–516, 2013 WL 1855879, at *2 (W.D. Okla. May 1, 2013) (“an adjustment or an apportionment of any damages awarded to plaintiff based on” settlement proceeds received by plaintiff “does not arise until after final judgment has been rendered”).

Respondents' motion should be denied at this point in the case, but Respondents would not be precluded from renewing their motion following entry of an award in Complainants' favor. Even following a reparations award, however, the FCA/MOL settlement "would not be relevant to any issue in [the] case other than the ministerial apportionment of damages, a mathematical computation that the Court rather than the jury will perform." *Bottaro*, 96 F.R.D. 158 at 160 (denying disclosure of settlement agreement prior to entry of verdict because "amount of settlement is not relevant to any issue in this case at this time."). And even at that point in the case, if responsibility for the reparations award has been allocated amongst the respondents, the settlement amounts with settling respondents would be irrelevant under the “proportionate share rule.” *McDermott*, 511 U.S. at 221.

CONCLUSION

Respondents' motion is, in essence, an unsupported and premature motion to compel. Respondents have not made any showing that the FCA/MOL settlement is relevant and therefore discoverable at this point in the case, and Respondents have not established that their need to determine potential damages calculations outweighs the harm that would result from disclosure of the FCA/MOL confidential settlement

agreement. Respondents' reliance on a single assertion that the FCA/MOL settlement is relevant to the issue of a potential set-off is insufficient to compel disclosure of the agreement or justify the Presiding Judge's reconsideration of its order granting confidentiality. Even following entry of a joint and several reparations award, the FCA/MOL settlement may still be irrelevant if the proportionate share rule is applied. Consistent with Commission precedent, the Presiding Judge reviewed and approved the FCA/MOL settlement agreement and granted FCA/MOL's motion requesting confidentiality of the agreement. There is nothing for the Presiding Judge to clarify or reconsider and there is no joint and several reparations award to compute the "ministerial apportionment of damages," so Respondents' motion should be denied.

Respectfully submitted,

/s/ Jessica A. Sprovtsoff
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DATED: April 17, 2019

CERTIFICATE OF SERVICE

I hereby certify that, on April 17, 2019, true and correct copies of the foregoing brief in opposition to respondents' supplemental consolidated motion to dismiss was filed with the Secretary of the Federal Maritime Commission, and electronic copies thereof were sent to all counsel for respondents identified in the respondents' supplemental consolidated motion to dismiss.

DATED: April 17, 2019

/s/ Jessica A. Sprovtsoff
Jessica A. Sprovtsoff

EXHIBIT A

FEDERAL MARITIME COMMISSION

YAKOV KOBEL AND VICTOR
BERKOVICH

Complainants,

v.

HAPAG-LLOYD, A.G., HAPAG-LLOYD,
INC., LIMCO LOGISTICS, INC., AND
INTERNATIONAL TLC, INC.,

Respondents.

Docket No. 10-06

Served: August 31, 2017

BY THE COMMISSION: Michael A. KHOURI, *Acting Chairman*; Rebecca F. DYE, William P. DOYLE, and Daniel B. MAFFEI, Commissioners.

**Order Granting Joint Request Approving Settlement
Agreement and Stay of Attorney Fee Proceeding and Request
for Confidential Treatment**

On April 3, 2017, Complainants and Respondent Limco Logistics, Inc. jointly requested that the Commission approve a settlement agreement, stay consideration of Complainants' attorney fee petition as to Limco, and grant confidential treatment to the proposed settlement agreement and covenant not to execute and release of claims. For the reasons set forth below, the Commission

grants the request, subject to the filing of a public version of the covenant.

I. BACKGROUND

In 2010, Complainants filed a complaint alleging that Hapag-Lloyd A.G., Hapag-Lloyd America, Inc., Limco, and International TLC, Inc. (ITLC) violated various sections of the Shipping Act in connection with the damage, delay, and liquidation of containers transported from Portland to Poland. The Administrative Law Judge determined that Complainants had not met their burden of proving a Shipping Act violation and dismissed their claims. *Kobel v. Hapag-Lloyd A.G.*, 32 S.R.R. 512 (ALJ 2012). The Commission affirmed the dismissal of the claims against Hapag-Lloyd, but it vacated and remanded the ALJ decision with respect to the 46 U.S.C. § 41102(c) (section 10(d)(1)) claims against Limco and ITLC. *Kobel v. Hapag-Lloyd A.G.*, 32 S.R.R. 1720 (FMC 2013).

On remand, the ALJ found that ITLC and Limco violated § 41102(c) and were jointly and severally liable for reparations of \$126,072. *Kobel v. Hapag-Lloyd A.G.*, 33 S.R.R. 594, 606 (ALJ 2014). The Commission affirmed and ordered ITLC and Limco jointly and severally to pay Complainants \$126,072 in reparations and \$2,963.29 in interest, for a total of \$129,035.29. *Kobel v. Hapag-Lloyd A.G.*, 34 S.R.R. 215, 222 (FMC 2015). Complainants petitioned for attorney fees, and at the Commission's request the parties filed briefs regarding the effect of the Howard Coble Coast Guard and Maritime Transportation Act of 2014, Pub. L. No. 113-281, § 402, 128 Stat. 3022 (Dec. 18, 2014). On April 3, 2017, Complainants and Limco filed the pending joint request for settlement approval. ITLC has not responded to the settling parties' request.

II. DISCUSSION

The Commission's regulations permit settlement, subject to Commission approval. 46 C.F.R. §§ 502.72(a)(3), 502.75 (a)-(b). The Commission reviews settlement agreements to determine "whether the settlement appears to violate any law or policy and to ensure the settlement is free of fraud, duress, undue influence, mistake, or other defects which might make it unapprovable." 46 C.F.R. § 502.72(a)(3). As part of this analysis, "the Commission looks to see if the settlement has a reasonable basis and reflects the careful consideration by the parties of such factors as the relative strengths of their positions weighted against the risks and costs of continued litigation." *APM Terminals N. Am., Inc. v. Port Auth. of N.Y. & N.J.*, 31 S.R.R. 623, 626 (FMC 2009) (quoting *Delhi Petroleum Pty. Ltd. v. U.S. Atl. & Gulf/Australia – New Zealand Conference & Columbus Line, Inc.*, 24 S.R.R. 1129, 1134 (ALJ 1988)). The Commission's inquiry is informed, however, by its "strong and consistent policy of encouraging settlements and engaging in every presumption which favors a finding that they are fair, correct, and valid." *APM Terminals*, 31 S.R.R. at 625 (quoting *Inlet Fish Producers, Inc. v. Sea-Land Service, Inc.*, 29 S.R.R. 975, 978 (ALJ 2002)) (internal quotation marks omitted).

Having reviewed the proposed settlement, the Commission finds that it does not appear to violate any law or policy, it is fair, adequate, and reasonable, and it is free of fraud, duress, undue influence, mistake or other defect that might make it unapprovable. In exchange for Limco making certain payments and agreeing not to appeal the reparations award, Complainants have agreed not to pursue enforcement of the balance of the reparations award as to Limco and to dismiss their petition for attorney fees as to Limco. The proposed settlement agreement and the accompanying covenant not to execute and release of claims do not apply to ITLC.

The proposed settlement agreement does not appear to violate any law, and there is no evidence that it is infected with fraud, duress, undue influence or mistake, given that the settling

parties are represented by counsel. The proposed settlement agreement also has a reasonable basis and reflects the settling parties' careful consideration of the tradeoffs of continued litigation and settlement. They "desire to settle this case to end any further litigation and in particular the Complainants' claim for attorney's fees and any further litigation, including any appeals, and any further legal proceedings to enforce the reparations award already awarded." Jt. Request at 2. Although the Commission does not rubber stamp settlements, it also does not second-guess such valuations. *APM Terminals*, 31 S.R.R. at 626.

The proposed settlement agreement also does not appear to violate Commission policy, which favors settlements and presumes that they are fair. ITLC has not objected to the proposed settlement agreement. And, importantly, although ITLC is jointly and severally liable for the reparations award, the proposed settlement agreement provides that Limco's settlement payments will serve as a credit against that award. See *McDermott, Inc. v. Amclyde*, 511 U.S. 202, 208 (1994) ("It is generally agreed that when a plaintiff settles with one of several joint tortfeasors, the nonsettling defendants are entitled to a credit for that settlement."). Moreover, by approving the proposed settlement agreement, the Commission makes no findings as to Complainants' petition for attorney fees vis-à-vis ITLC.

Further, in conjunction with the proposed settlement, the settling parties seek a stay of the attorney fee proceedings with respect to Limco pending the completion of the terms of the settlement agreement. This request is reasonable, and the Commission will stay proceedings on Complainants' petition for attorney fees as to Limco for 90 days.

Finally, the Commission will treat the proposed settlement agreement confidentially under 46 C.F.R. § 502.5. The settling parties have identified the information they seek to protect and filed a public version of the agreement that redacts only that information. And while they have done little to demonstrate that the information at issue is a trade secret or other confidential research, development,

or commercial information, 46 C.F.R. § 502.5(b), the Commission has granted confidential treatment to settlement information in the past. *See Global Link Logistics, Inc. v. Hapag-Lloyd AG*, FMC Dkt. No. 13-07, 2015 FMC LEXIS 4, at *16-*19 (FMC Apr. 14, 2015). The Commission will also grant confidential treatment to the covenant not to execute and release of claims. But, because the settling parties have not filed a public version of that document, such treatment is contingent on the settling parties filing a public version of the covenant within three days of this order.

III. CONCLUSION

The Commission **GRANTS** the settling parties' joint request and **ORDERS** that: (1) the proposed settlement agreement is **APPROVED**; (2) proceedings on Complainants' petition for attorney fees with respect to Limco are **STAYED** until November 29, 2017; (3) the proposed settlement agreement is **CONFIDENTIAL**; and (4) the covenant not to execute and release of claims is **CONFIDENTIAL** as long as the settling parties file a public version of the document in accordance with 46 C.F.R. § 502.5(a)(2)(ii) by September 5, 2017.

Rachel Dickon
Assistant Secretary

EXHIBIT B

FEDERAL MARITIME COMMISSION

YAKOV KOBEL and VICTOR BERKOVICH,

Complainants,

v.

HAPAG-LLOYD AMERICA, INC., LIMCO
LOGISTICS, INC., and INTERNATIONAL
TLC, INC.,

Respondents.

Docket No. 10-06

SETTLEMENT AGREEMENT

This settlement agreement is entered into between Complainants, by and through their attorney, Donald P. Roach and Respondent, Limco Logistics, Inc. (Limco) by and through its president, Michael Lyamport and its attorney, Jonathan Cooper on the date set forth below.

WHEREAS, Complainants have filed a claim with the Federal Maritime Commission (FMC) under the Shipping Act of 1984 against Respondent Limco Logistic, Inc. and also, International TLC (ITLC), and

WHEREAS, the FMC awarded to Complainants a reparations award against both Limco and ITLC jointly and severally in the sum of \$129,035.29 which became final on July 25, 2016, and

WHEREAS, Complainants have filed a petition for attorney's fees with the FMC in this proceeding and Respondents Limco and ITLC have filed objections to said petition for attorney's fees, and

WHEREAS, Complainants and Limco have reached an agreement regarding resolving the remaining issues between Complainants and Limco as to the reparations award and pending attorney fee proceedings against Limco only,

NOW THEREFORE, Complainants and Limco Logistics, Inc. mutually agree to the following terms and conditions:

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[REDACTED]

3. Complainants and Limco agree to a Stay of Complainants' petition for attorney's fees as to Limco only pending the payment of the settlement agreement as set forth above.

4. Upon full payment of the above sum by Limco, Complainants will dismiss their claim of attorney's fees as to Limco only. The sum paid by Limco pursuant to this settlement agreement shall be a partial satisfaction of the reparation award against Limco.

5. Complainants agree not to pursue any enforcement of reparations against Limco only pending the compliance of the terms of this settlement.

6. [REDACTED] Complainants will agree to a covenant not to execute on the remaining sums on the reparations award as to Limco and release of further liability as to Limco only on the claim for attorney fees in a form satisfactory to the parties. Complainants will notify the FMC upon completion of the settlement agreement and file a motion to dismiss petition for attorneys fees as to only Limco Logistics, Inc.

1 7. In the event that Limco defaults on any of the above payments, Complainants are
2 entitled to immediately pursue and enforce their claim for reparations and attorney's fees
3 against Limco, including enforcement action on Limco's bond.

4 8. In the event of default, Complainants will notify the FMC and request termination
5 of the stay of the attorney fee proceeding.

6 9. In event of default by Limco Logistics, Complainants will be entitled to retain any
7 payments made by Limco and said sums will be applied as payment towards the reparation
8 award and/or attorney's fee award against Limco.

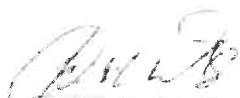
9 10. This agreement between Complainants and Limco does not apply to International
10 TLC. Further, this agreement is contingent upon Complainants preserving any and all
11 reparations award, claims and rights, including attorney's fees, against ITLC, except that any
12 payments made by Limco will be a credit as to the reparations award against Limco and ITLC.

13 11. Limco agrees not to pursue any appeal of the reparations award in favor of
14 Complainants, nor any challenge to the petition for attorney's fees as to ITLC.

15 The parties have set their signatures on the below date and time:

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18 Victor Berkovich

03/24/17
Date

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21 Yakov Kobel

03/24/17
Date

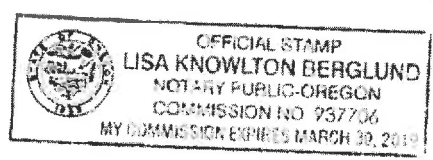
22 Limco Logistics, Inc.

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25 By: Michael Lyampert
26 President of Limco Logistics, Inc.

3/28/17
Date

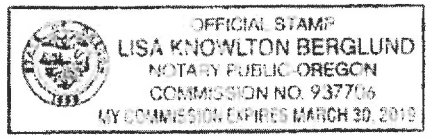
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Acknowledged before me this 24 day of March, 2017 by Victor Berkevich.



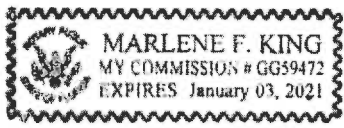
[Signature]
Notary Public for Oregon

Acknowledged before me this 24 day of March, 2017 by Yakov Kobel.



[Signature]
Notary Public for Oregon

Acknowledged before me this 27 day of March 2017 by Michael Lyamport on behalf of Linco Logistic, Inc.



[Signature]
Notary Public for Oregon

Approved as to form.

[Signature]
Donald P. Roach, OSB 75317
Attorney for Complainants

Date: March 24, 2017

[Signature]
Jonathan Cooper
Attorney for Respondent Linco Logistics

Date: 3/31/17